CSIS JAPAN CHAIR

Japan Daily Brief

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RE: BOJ Sept minutes signal faster hikes · US midterm 'blue wave' rattles Tokyo · DPRK tests SAM + cruise missile · China blocks SoftBank deal · Quad Malabar begins

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
61,077.90	158.41	$96.55	1.00%
▼ -5.54%	▲ +0.38%	▼ -7.85%	

TOP STORIES

ECONOMY-BOJ

BOJ debated need for more rate hikes, scope for faster moves, September minutes show

Minutes from the Bank of Japan's September 17-18 policy meeting show at least one board member urged colleagues to debate the *size* of future rate hikes — an escalation beyond the prior discussion of when to move — while the full board agreed on inflation overshoot risk. The yen trades at 158.41 to the dollar and JGB 10-year yields stand at 1.50%, with yen weakness itself cited in market commentary as adding pressure on the BOJ to act.

REUTERS

ALLIANCE

U.S. midterm results not to affect strength of alliance: Japan gov't

The Japanese government issued a formal position through the Chief Cabinet Secretary that the Democratic 'blue wave' midterm result will not alter the fundamentals of the Japan-US alliance, as Tokyo stocks fell *5.54 percent* in volatile trade. PM Takaichi separately stated she will 'cooperate with Trump to strengthen the Japan-US relationship,' per Asahi Shimbun, signaling continuity messaging directed at both Washington and domestic audiences.

KYODO NEWS

CHINA-JAPAN

China Blocks SoftBank’s $5.4 Billion Robotics Takeover, Impeding Foreign Deals

Chinese authorities stopped **SoftBank**'s *$5.4 billion* acquisition of ABB Robotics — owned by Swiss conglomerate ABB — citing broader scrutiny of global transactions that could affect Beijing's technology ambitions, the New York Times reports. The decision marks a rare instance of China's antitrust or security review blocking a Japanese firm's overseas technology deal and comes as Tokyo and Washington align on semiconductor and advanced-technology export controls.

NYT

DPRK

North Korea says it tested air-defence missile, staged cruise missile drill

North Korea confirmed via KCNA that it test-fired a 'newly designed' air-defense missile system on Wednesday and separately conducted a strike drill with a strategic cruise missile fitted with a cluster-dispersal warhead — its fifth weapons test in roughly a month. South Korea's military confirmed multiple projectiles were fired into the Sea of Japan; Japan's MOD assessed the launches and no EEZ splashdown was confirmed in today's reporting.

REUTERS

INDO-PACIFIC

Quad nations begin joint naval exercise amid China's growing assertiveness

The United States, Japan, Australia, and India commenced the Malabar joint naval exercise in waters off the Kanto region, per Mainichi/Kyodo, amid China's growing maritime assertiveness and a sustained North Korean testing tempo. The exercise is the principal operational expression of Quad security cooperation and runs during a period of heightened DPRK weapons activity.

MAINICHI

POLITICS-DIET

Takaichi to skip U.N. climate summit in Turkey

Prime Minister Takaichi will not attend the UN climate summit in Turkey, the Japan Times reports, making this the third consecutive year that a sitting Japanese prime minister has not attended a UN climate conference. Opposition parties are escalating criticism of Takaichi over the dual absences — the climate summit and last month's G7 foreign ministers meeting — as her Jiji cabinet approval rating has fallen to a record low of 42.4%.

THE JAPAN TIMES

STAT OF THE DAY

-5.54%

Nikkei 225 single-day drop on Democratic midterm sweep

Tokyo stocks closed sharply lower in volatile trade after US Democrats retook Congress in a 'blue wave' result, per Kyodo.

Tokyo stocks end lower in volatile trade as U.S. Democrats retake Congress — Japan Wire by Kyodo News

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · THURSDAY, NOVEMBER 5, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — PM Takaichi conducted a telephone summit with French President Macron to convey concerns over the EU Industrial Accelerator Act and issued a public statement pledging to cooperate with President Trump to strengthen the Japan-US alliance following the US midterm results.

官邸 · PRIME MINISTER'S OFFICE (KANTEI) · *Prime Minister Sanae Takaichi*

Takaichi holds telephone summit with French President Macron; raises 'serious concern' over EU Industrial Accelerator Act

Prime Minister **Sanae Takaichi** conducted a Japan-France summit telephone call with President Emmanuel Macron, conveying Tokyo's concerns about the EU's Industrial Accelerator Act, which Japan views as potentially discriminatory toward Japanese firms. Separately, Asahi Shimbun reported that Takaichi stated she will 'cooperate with Trump to strengthen the Japan-US relationship' in response to questions about the US midterm results.

→ MOFA ↗

内閣官房長官 · CHIEF CABINET SECRETARY · *Chief Cabinet Secretary Minoru Kihara*

Kihara morning press conference addresses US midterm results and alliance continuity

Chief Cabinet Secretary **Minoru Kihara** held his morning press conference on November 5, with the Japanese government issuing an official position that US midterm results will not affect the strength of the Japan-US alliance, per Kyodo News. Separately, the government has indicated Japan is considering financial assistance to the International Criminal Court amid US sanctions on the ICC.

→ Kantei ↗

外務省 · MINISTRY OF FOREIGN AFFAIRS (MOFA) · *Foreign Minister Toshimitsu Motegi*

FM Motegi receives Philippine Senate President Gatchalian; multiple ambassador courtesy calls conducted

Foreign Minister **Toshimitsu Motegi** received a delegation led by Philippine Senate President Sherwin Gatchalian. Additionally, State Minister for Foreign Affairs Nakasone Yasutaka received courtesy calls from the ambassadors-designate of Finland and Czech Republic, and the ambassador of Indonesia, and attended the Italian Armed Forces Day reception. Parliamentary Vice-Minister Fujii separately departed for Samoa.

→ MOFA ↗

DIET SESSIONS / LDP

LDP / HOUSE OF REPRESENTATIVES

LDP pushes to accelerate constitutional revision debate; opposition resists PM Takaichi's 'amendment timeline'

The ruling LDP is pressing for 'concentrated deliberations' on Article 9 of the constitution, but Asahi Shimbun reports that PM Takaichi's target date for a Diet referral motion remains unclear amid coalition and opposition resistance. A separate Asahi analysis notes that Takaichi's 'go-it-alone style' on constitutional revision is widening intra-coalition divisions as she passes her first year in office.

OPPOSITION PARTIES (CDP ET AL.)

Opposition steps up criticism of PM Takaichi for skipping October G7 meeting and now the UN climate summit

The Japan Times reports opposition parties escalating attacks on Takaichi for missing last month's G7 foreign ministers meeting and now confirming she will also skip the UN climate summit in Turkey — the third consecutive year without a Japanese prime minister at a UN climate conference. The dual absences are being framed by opposition leaders as evidence of diplomatic disengagement.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
JNN · Nov 2, 2026	**64.9%**	**32.5%**
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026 · **22d ago**	**50.8%**	**32%**

Discourse: PM Takaichi's decision to skip the UN climate summit — the third consecutive year without a Japanese PM at COP — is amplifying opposition attacks already focused on her October G7 absence, as her Jiji approval rating has fallen to a record low of 42.4%.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

AUTO · THE JAPAN TIMES · TOYOTA MOTOR

Toyota raises full-year net profit forecast to ¥3.57 trillion on strong demand and weak yen

Toyota Motor raised its net profit forecast for the year through March 2027 to *¥3.57 trillion* ($23 billion), up from the previous August projection of ¥3.25 trillion, citing strong vehicle demand and the tailwind of a weak yen at 158.41 to the dollar.

TECH · THE JAPAN TIMES · SONY GROUP

Sony raises FY2026 operating income outlook by 15% to ¥1.87 trillion on games and Spider-Man film slate

Sony Group lifted its operating income guidance for the year through March 2027 to *¥1.87 trillion*, a 15% increase over prior guidance, driven by firm demand for PlayStation games and its film entertainment unit. Sony separately raised its net profit forecast to ¥1.33 trillion ($8.42 billion), per Mainichi/Kyodo.

TECH · CNBC · NINTENDO

Nintendo Switch 2 sales plunge 41% in fiscal Q2 as price hikes and memory costs bite

Nintendo reported a *41% plunge* in Switch 2 unit sales in its fiscal second quarter after rolling out price increases amid soaring memory component costs, though net profit for the first half rose 11% year-on-year as the price hikes offset volume declines.

REGIONAL PRESSURE WATCH

Heavy — 72 items (54 DPRK, 9 BOJ, 5 Chief Cabinet Sec, 3 METI, 1 China MOFA)

CHINA

China's Foreign Ministry spokesperson, via Global Times, stated that Japan's plan to revise its Three Strategic Documents 'lays bare ambition to speed up remilitarization' and poses 'a serious threat to the Asia-Pacific region' — Beijing's sharpest official framing yet of the 2026 security-document review process. Separately, Global Times published a piece attacking Japan's 'disaster management chief' over remarks that China could 'exploit Japan's

vulnerability,' and criticized PM Takaichi's remarks supporting Japan's shodo (calligraphy) UNESCO bid by raising its Chinese cultural roots.

NORTH KOREA

North Korea confirmed via KCNA that it test-fired a 'newly designed' advanced air-defense missile system on Wednesday — described by multiple outlets as resembling Russia's S-400 — and separately conducted a strike drill with a strategic cruise missile (Hwasal-1) fitted with a cluster-dispersal warhead reportedly targeting Riwon Airfield. Multiple projectiles were fired into the Sea of Japan; this is the fifth DPRK weapons test in roughly a month and Kim Yo Jong issued a statement slamming the door on Trump-Kim APEC diplomacy.

RUSSIA

No new Russian military or territorial signal toward Japan is reported in today's data beyond the persistent baseline; the detention of Hokkaido Shimbun reporter Yuki Imai by Russia's FSB in Sakhalin on espionage charges remains unresolved with consular access still denied.

Senkaku / ECS: No new China Coast Guard intrusions, PLA vessel activity, or scramble events near the Senkaku Islands are reported in today's Tier 1 or Tier 4 data; the baseline of persistent CCG contiguous-zone patrols continues.

> *"Japan's plan to revise its three security documents lays bare ambition to speed up remilitarization"*
>
> Chinese MFA spokesperson · Japan's plan to revise its three security documents lays bare ambition to speed up remilitarization: FM spokesperson - Global Times

Bottom line: North Korea's fifth weapons test in a month — combining a new S-400-class air-defense system with a cluster-warhead cruise missile strike drill — signals a sustained capability-demonstration campaign; simultaneously, China's MFA has escalated its rhetorical framing of Japan's Three Strategic Documents review from concern to explicit 'threat' language, warranting close tracking as Tokyo's security-document revision process advances.

U.S.-JAPAN RELATIONS

CONGRESS · THE JAPAN TIMES

Tokyo braces for post-midterm policy shifts as Democrats retake Congress

The Japan Times reports Tokyo is watching for shifts in US post-election decision-making on trade and foreign policy, while noting that bipartisan congressional support for the alliance provides insulation from executive-legislative friction. Key watch areas include tariff policy and any congressional push on host-nation support negotiations ahead of the March 2027 Special Measures Agreement expiry.

BASING · THE JAPAN TIMES

US Marine dies during training exercise in Okinawa; cause under investigation

A US Marine died during a training exercise in Okinawa, with a spokesman for the 3rd Marine Division stating the cause of death 'is still under investigation.' The incident occurs as USFJ basing issues remain politically sensitive in Okinawa amid the ongoing Futenma relocation to Henoko.

INDO-PACIFIC PARTNERS

SOUTHEAST ASIA · THE DIPLOMAT

Japan-Vietnam partnership enters new phase as To Lam visit approaches

The Diplomat examines whether Japan and Vietnam can convert their increasingly ambitious partnership into concrete economic and strategic outcomes, with the two countries also considering a new bilateral pact to prevent cross-border crimes ahead of Vietnamese President To Lam's upcoming Japan visit.

SOUTHEAST ASIA · THE JAPAN TIMES

Japan and Vietnam consider new bilateral pact to prevent cross-border crimes

Japan and Vietnam are discussing a new bilateral agreement targeting cross-border criminal activity, per Japan Times, as the two countries deepen security cooperation ahead of the Vietnamese leader's visit to Tokyo.

AUSTRALIA · NIKKEI ASIA

Nikkei Asia examines cost dynamics of building Japanese-designed stealth frigates in Australia

Nikkei Asia assesses the financial and industrial implications of constructing Japan's new stealth frigates in Australian shipyards, a cornerstone of the Japan-Australia defense-industrial partnership under the countries' Special Strategic Partnership.

UPCOMING

Nov 5

BOJ September MPM minutes released today

The Bank of Japan published minutes of its September 17-18 monetary policy meeting, confirming debate over both the pace and size of additional rate hikes. Markets will parse language on the inflation overshoot risk and next-meeting guidance.

Nov 5

Quad Malabar naval exercise begins off Kanto region

The United States, Japan, Australia, and India commenced the Malabar joint naval exercise in waters off the Kanto region surrounding Tokyo, per Mainichi/Kyodo. The exercise runs amid heightened North Korean testing activity and Chinese PLA maritime pressure.

Nov 5

Vietnam President To Lam visit to Japan expected

Human Rights Watch has urged PM Takaichi to press Vietnam on prisoner releases ahead of Vietnamese President To Lam's upcoming visit to Japan; Japan and Vietnam are also considering a new bilateral pact to prevent cross-border crimes, per Japan Times.

Dec 1

MOD defense budget request cycle — Cabinet draft budget expected December

Japan's annual defense budget cycle moves toward a Cabinet draft in December, with MOF publicly arguing for a 'peacetime fiscal base' to support defense spending. The pace of the defense buildup financing debate will intensify through year-end.

Mar 31

Current Host-Nation Support Special Measures Agreement expires

The current US-Japan Special Measures Agreement covering host-nation support (approximately ¥211 billion/year) runs through March 31, 2027. Negotiations on the successor agreement will intensify against the backdrop of the Democratic-controlled Congress.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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